20.10 Impact of Globalization

(a) Corporations got a competitive advantage from lower operating costs, and access to new raw materials and additional markets.

(b) Multinational corporations (MNCs) can manufacture, buy and sell goods worldwide.

(c) Globalisation has led to a boom in consumer products market.

(d) The advent of foreign companies and growth in economy has led to job creation.

(e) Globalisation has touched every aspect of agriculture like technological advancement, improved production techniques and quality based enhancement.

20.11 Highlights of the LPG Policy

Given below are the salient highlights of the Liberalisation, Privatisation and Globalisation Policy in India:

(a) Introduction of new Foreign Trade Agreements

(b) Foreign Investment (FDI & FII)

(c) MRTP Act, 1969 (Amended)

(d) Deregulation

(e) Opportunities for overseas trade

(f) Steps to regulate inflation

(g) Tax reforms

(h) Abolition of License

Globalization and liberalization are concepts closely related to one another, and both globalization and liberalization refer to relaxing social and economic policies which results in better integration with an economy and between nations. Globalization and liberalization both occur as a result of modernization. Globalization is the greater integration among countries and economies for trade, economic, social and political benefits. Liberalization generally refers to removal of restrictions; usually government rules and regulations imposed on social, economic, or political matters.

Key Words

FDI, TRIPS, TRYSEM, GATS

The former Prime Minister of India Dr.Manmohan Singh is considered as the architect of Indian economic reforms who introduced the policy of liberalisation in India in 1991.

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